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37. Disclosures on financial instruments (Contd.)

(v) Management uses its best judgement in estimating the fair value of its financial instruments. However, there are inherent limitations in any estimation technique. Therefore, for substantially all financial instruments, the fair value estimates presented above are not necessarily indicative of the amounts that the Company could have realised or paid in sale transactions as of respective dates. As such, fair value of financial instruments subsequent to the reporting dates may be different from the amounts reported at each reporting date.

(vi) There have been no transfers between Level 1 and Level 2 for the year ended March 31, 2026 and March 31, 2025.

(vii) Reconciliation of Level 3 fair value measurement is as below:

(₹ crore)

	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	63,800.24	58,089.76
Additions during the year	24,188.67	29,299.30
Fair value changes through profit or loss and other comprehensive income	(3,072.31)	(23,588.82)
Balance at the end of the year	**84,916.60**	**63,800.24**

(c) Derivative financial instruments

Derivative instruments used by the Company include forward exchange contracts, interest rate swaps, currency swaps, options and interest rate caps and collars. These financial instruments are utilised to hedge future transactions and cash flows and are subject to hedge accounting under Ind AS 109 “Financial Instruments” wherever possible. The Company does not hold or issue derivative financial instruments for trading purposes. All transactions in derivative financial instruments are undertaken to manage risks arising from underlying business activities.

The following table sets out the fair value of derivatives held by the Company as at the end of the reporting period:

(₹ crore)

	As at March 31, 2026		As at March 31, 2025	
	Assets	Liabilities	Assets	Liabilities
(a) Foreign currency forwards, swaps, options and commodity futures	995.85	10.33	217.10	172.66
(b) Interest rate swaps and collars	33.15	0.22	21.97	-
	1,029.00	**10.55**	**239.07**	**172.66**
Classified as:				
Non-current	664.28	-	-	46.26
Current	364.72	10.55	239.07	126.40
	1,029.00	**10.55**	**239.07**	**172.66**

As at the end of the reporting period, total notional amount of outstanding foreign currency contracts, commodity futures, options, interest rate swaps and collars that the Company has committed to is as below:

(US $ million)

	As at March 31, 2026	As at March 31, 2025
(i) Foreign currency forwards, swaps and options	2,368.00	2,169.89
(ii) Interest rate swaps and collars	525.00	146.67
	2,893.00	**2,316.56**

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37. Disclosures on financial instruments (Contd.)

(d) Transfer of financial assets

The Company transfers certain trade receivables under discounting arrangements with banks/financial institutions. Some of such arrangements do not qualify for de-recognition due to recourse arrangements being in place. Consequently, the proceeds received from transfer are recorded as short-term borrowings from banks and financial institutions. As at March 31, 2026 and March 31, 2025, there has been no such transfer of trade receivables.

(e) Financial risk management

In the course of its business, the Company is exposed primarily to fluctuations in foreign currency exchange rates, interest rates, equity prices, liquidity and credit risk, which may adversely impact the fair value of its financial instruments.

The Company has a risk management policy which not only covers the foreign exchange risks but also other risks associated with the financial assets and liabilities such as interest rate risks and credit risks. The risk management policy is approved by the Board of Directors. The risk management framework aims to:

(i) create a stable business planning environment by reducing the impact of currency and interest rate fluctuations on the Company's business plan.

(ii) achieve greater predictability to earnings by determining the financial value of the expected earnings in advance.

(i) Market risk

Market risk is the risk of any loss in future earnings, in realising fair values or in future cash flows that may result from a change in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchange rates, equity price fluctuations, liquidity and other market changes. Future specific market movements cannot be normally predicted with reasonable accuracy.

(a) Market risk - Foreign currency exchange rate risk:

The fluctuation in foreign currency exchange rates may have a potential impact on the statement of profit and loss and equity, where any transaction references more than one currency or where assets/liabilities are denominated in a currency other than the functional currency of the Company.

The Company, as per its risk management policy, uses foreign exchange and other derivative instruments primarily to hedge foreign exchange and interest rate exposure. Any weakening of the functional currency may impact the Company's cost of imports and cost of borrowings and consequently may increase the cost of financing the Company's capital expenditures.

Since the entire exposure is hedged, a 10% appreciation/depreciation of foreign currencies with respect to functional currency of the Company would not result in any increase/decrease in the Company's net profit/equity before considering tax impacts for the year ended March 31, 2026 (March 31, 2025: ₹155.06 crore).

The foreign exchange rate sensitivity is calculated by assuming a simultaneous parallel foreign exchange rates shift of all the currencies by 10% against the functional currency of the Company.

The sensitivity analysis has been based on the composition of the Company's financial assets and liabilities as at March 31, 2026 and March 31, 2025 excluding trade payables, trade receivables, other derivative and non-derivative financial instruments (except investment in preference shares and loans receivable) not forming part of debt and which do not present a material exposure. The period end balances are not necessarily representative of the average balance outstanding during the period.

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37. Disclosures on financial instruments (Contd.)

(b) Market risk - Interest rate risk:

Interest rate risk is measured by using the cash flow sensitivity for changes in variable interest rates. Any movement in the reference rates could have an impact on the Company's cash flows as well as costs. The Company is subject to variable interest rates on some of its interest bearing liabilities. The Company's interest rate exposure is mainly related to debt obligations.

Based on the composition of debt as at March 31, 2026 and March 31, 2025 a 100 basis points increase in interest rates would increase the Company's finance costs (before considering interest eligible for capitalisation) and consequently reduce net profit/equity before considering tax impacts by approximately **₹356.47** crore for the year ended March 31, 2026 (March 31, 2025: ₹397.01 crore).

The risk estimates provided assume a parallel shift of 100 basis points interest rate across all yield curves. This calculation also assumes that the change occurs at the balance sheet date and has been calculated based on risk exposures outstanding as at that date. The period end balances are not necessarily representative of the average debt outstanding during the period.

(c) Market risk - Equity price risk:

Equity price risk is related to change in market reference price of investments in equity securities held by the Company.

The fair value of quoted investments held by the Company exposes the Company to equity price risks. In general, these investments are not held for trading purposes.

The fair value of quoted investments in equity, classified as fair value through other comprehensive income as at March 31, 2026 was **₹1,861.58** crore (March 31, 2025: ₹1871.85 crore).

A 10% change in equity prices of such securities held as at March 31, 2026 and March 31, 2025 would result in an impact of **₹186.16** crore and ₹187.19 crore respectively on equity before considering tax impact.

(ii) Credit risk:

Credit risk is the risk of financial loss arising from counter-party failure to repay or service debt according to the contractual terms or obligations. Credit risk encompasses both the direct risk of default and the risk of deterioration of credit worthiness as well as concentration risks.

The Company has a policy of dealing only with credit worthy counter parties and obtaining sufficient collateral, where appropriate as a means of mitigating the risk of financial loss from defaults.

Financial instruments that are subject to credit risk and concentration thereof principally consist of trade receivables, loans receivables, investments in debt securities and mutual funds, balances with bank, bank deposits, derivatives and financial guarantees provided by the Company. None of the financial instruments of the Company result in material concentration of credit risk except investment in preference shares made by the Company in its subsidiary companies.

The carrying value of financial assets represents the maximum credit risk. The maximum exposure to credit risk was **₹15,179.57** crore and ₹20,180.07 crore, as at March 31, 2026 and March 31, 2025 respectively, being the total carrying value of trade receivables, balances with bank, bank deposits, investments in debt securities, mutual funds, loans, derivative assets and other financial assets.

The risk relating to trade receivables is presented in note 12, page F67.

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37. Disclosures on financial instruments (Contd.)

The Company's exposure to customers is diversified and no single customer contributes to more than 10% of outstanding trade receivables as at March 31, 2026 and March 31, 2025.

In respect of financial guarantees provided by the Company to banks/financial institutions, the maximum exposure which the Company is exposed to is the maximum amount which the Company would have to pay if the guarantee is called upon. Based on the expectation at the end of the reporting period, the Company considers that it is more likely than not that such an amount will not be payable under the guarantees provided.

(iii) Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements.

The Company has obtained fund and non-fund based working capital lines from various banks. Furthermore, the Company have access to undrawn lines of committed and uncommitted borrowing/ facilities, funds from debt markets through commercial paper programs, non-convertible debentures and other debt instruments. The Company invests its surplus funds in bank fixed deposits and in mutual funds, which carry no or low market risk.

The Company also constantly monitors funding options available in the debt and capital markets with a view to maintaining financial flexibility.

The Company's liquidity position remains strong at **₹25,579.13** crore as at March 31, 2026, comprising **₹3,299.06** crore in the form of current investments, cash and cash equivalents and other balances with banks (including non-current and current earmarked balances) and **₹22,280.07** crore in committed undrawn bank lines including **₹11,770.60** crore in respect of subsidiary which can be utilised for the Company's global operations as rquired.

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37. Disclosures on financial instruments (Contd.)

The following table shows a maturity analysis of the anticipated cash flows including interest obligations for the Company's derivative and non- derivative financial liabilities on an undiscounted basis, which therefore differ from both carrying value and fair value. Floating rate interest is estimated using the prevailing interest rate at the end of the reporting period. Cash flows in foreign currencies are translated using the period end spot rates:

(₹ crore)

	As at March 31, 2026				
	Carrying value	Contractual cashflows	Less than one year	Between one to five years	More than five years
Non-derivative financial liabilities:					
Borrowings other than lease obligation including interest	65,085.01	84,323.07	18,016.71	37,601.96	28,704.40
Lease obligations including interest obligations	4,404.75	7,022.89	1,120.14	2,898.92	3,003.84
Trade payables	25,111.29	25,111.29	25,111.29	-	-
Other financial liabilities	9,958.05	10,223.58	9,105.47	718.33	399.78
	1,04,559.10	**1,26,680.83**	**53,353.61**	**41,219.21**	**32,108.02**
Derivative financial liabilities	**10.55**	**10.55**	**10.55**	**-**	**-**

(₹ crore)

	As at March 31, 2025				
	Carrying value	Contractual cashflows	Less than one year	Between one to five years	More than five years
Non-derivative financial liabilities:					
Borrowings other than lease obligation including interest	60,106.33	83,042.76	12,875.24	36,888.08	33,279.44
Lease obligations including interest obligations	3,583.00	5,906.11	872.32	2,574.38	2,459.41
Trade payables	20,601.11	20,601.11	20,601.11	-	-
Other financial liabilities	10,528.64	10,802.10	9,381.95	1,005.22	414.93
	94,819.08	**1,20,352.08**	**43,730.62**	**40,467.68**	**36,153.78**
Derivative financial liabilities	**172.66**	**172.66**	**126.40**	**46.26**	**-**

38. Segment reporting

The Company is primarily engaged in the business of manufacture and distribution of steel products and is operated out of India. In accordance with Ind AS 108 "Operating Segments", the Company has presented segment information on the basis of its consolidated financial statements which forms a part of this report.

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39. Related party transactions

The Company's related parties principally consist of its subsidiaries, associates and joint ventures, Tata Sons Private Limited including its subsidiaries and joint ventures. The Company routinely enters into transactions with these related parties in the ordinary course of business at market rates and terms.

The following table summarises related party transactions and balances included in the financial statements of the Company for the year ended/as at March 31, 2026 and March 31, 2025:

(₹ crore)

	Subsidiaries	Associates	Joint Ventures	Tata Sons Private Limited, its subsidiaries and joint ventures	Total
Purchase of goods	**30,745.29**	**40.72**	**568.38**	**1,207.02**	**32,561.41**
	33,199.17	*70.30*	*39.09*	*953.24*	*34,261.80*
Sale of goods#	**8,914.61**	**5.28**	**5,566.24**	**4,416.04**	**18,902.17**
	8,069.01	*3.13*	*6,065.53*	*2,972.46*	*17,110.13*
Services received	**2,295.64**	**85.15**	**2,626.42**	**960.31**	**5,967.52**
	2,294.68	*56.61*	*1,589.76*	*630.98*	*4,572.03*
Services rendered	**242.65**	**8.03**	**53.66**	**11.43**	**315.77**
	130.74	*2.51*	*36.24*	*2.69*	*172.18*
Securitization of receivables	**-**	**-**	**-**	**8,490.66**	**8,490.66**
	-	-	-	*6,397.11*	*6,397.11*
Interest income recognised	**950.91**	**-**	**71.55**	**1.66**	**1,024.12**
	1,028.25	-	*95.80*	*2.53*	*1,126.58*
Interest expense recognised	**11.69**	**-**	**143.87**	**36.93**	**192.49**
	10.93	-	*152.51*	*28.64*	*192.08*
Dividend paid(vi)	**3.79**	**-**	**-**	**1,308.93**	**1,312.72**
	3.79	-	-	*1,308.93*	*1,312.72*
Dividend received(vi)	**353.04**	**-**	**120.93**	**81.87**	**555.84**
	163.47	-	*79.28*	*43.31*	*286.06*
Provision recognised for receivables during the year	**828.62**	**-**	**-**	**-**	**828.62**
	74.91	-	-	-	*74.91*
Management contracts*	**5.76**	**-**	**0.39**	**204.23**	**210.38**
	83.11	*5.56*	*21.49*	*200.00*	*310.16*
Investments made	**22,411.20**	**26.05**	**-**	**-**	**22,437.25**
	29,261.64	*252.73*	-	-	*29,514.37*
Loans given@	**114.83**	**-**	**-**	**-**	**114.83**
	1,138.20	-	-	-	*1,138.20*
Loans repaid	**5,116.05**	**-**	**-**	**-**	**5,116.05**
	201.65	-	-	-	*201.65*
Outstanding loans and receivables	**5,265.89**	**4.11**	**107.97**	**116.63**	**5,494.60**
	8,376.72	*2.30*	*1,274.11*	*216.51*	*9,869.64*
Provision for outstanding loans and receivables	**3,560.23**	**0.03**	**-**	**-**	**3,560.26**
	2,731.61	-	-	-	*2,731.64*

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39. Related party transactions (Contd.)

(₹ crore)

	Subsidiaries	Associates	Joint Ventures	Tata Sons Private Limited, its subsidiaries and joint ventures	Total
Outstanding payables	**14,360.86**	**34.85**	**1,642.18**	**659.64**	**16,697.53**
	10,731.09	*19.46*	*1,746.63*	*286.06*	*12,783.24*
Guarantees provided outstanding^	**1.11**	**-**	**82.59**	**-**	**83.70**
	48.68	*24.17*	*82.59*	-	*155.44*
Purchase of Assets	**142.81**	**-**	**13.58**	**11.71**	**168.10**
	260.81	*70.30*	-	-	*331.11*
Sale of Fixed Assets	**-**	**-**	**-**	**-**	**-**
	0.14	-	*22.47*	-	*22.61*

Figures in italics represents comparative figures of previous year.

* Primarily includes brand equity due to Tata Sons Private Limited.

#Includes sale of power and water.

@ Includes rollover of loans and interest thereon.

^ Includes guarantees renewed during the year.

(i) The details of remuneration paid to key managerial personnel (Chief Executive Officer & Managing Director, Executive Director & Chief Financial Officer) and payment to non-executive directors are provided in note 27, page F90 & note 30, page F91 respectively.

The Company has paid dividend of **₹1,10,094.00** (2024-25: ₹1,10,094.00) to key managerial personnel and **₹21,351.00** (2024-25: ₹21,351.00) to relatives of key managerial personnel during the year ended March 31, 2026.

(ii) During the year ended March 31, 2026, the Company has contributed **₹497.73** crore (2024-25: ₹710.81 crore) to post employment benefit plans.

As at March 31, 2026, amount receivable (net) from post-employment benefit fund is **₹72.52** crore (2024-25: ₹144.90 crore) on account of retirement benefit obligations paid by the Company directly.

(iii) Details of investments made by the Company in shares of its subsidiaries, associates and joint ventures is disclosed in note 6, page F52 and note 48, page F128.

(iv) Commitments with respect to subsidiaries, associates and joint ventures is disclosed in note 34(B), page F105.

(v) Transactions with joint ventures and associates have been disclosed at full value and not at their proportionate share.

(vi) Dividend paid includes **₹1,284.69** crore (2024-25: ₹1,284.69 crore) paid to Tata Sons Private Limited. Dividend received includes **₹80.31** crore (2024-25: ₹43.31 crore) received from Tata Sons Private Limited.

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40. Financial ratios

The ratios as per the latest amendment to Schedule III are as below:

		Year ended March 31, 2026	(₹ crore) Year ended March 31, 2025
(1)	**Current ratio** (Total current assets/Current liabilities) [Current liabilities: Total current liabilities - Current maturities of non-current borrowings and lease obligations]	0.58	0.69
(2)	**Debt equity ratio#** (Debt equity ratio: Net debt equity ratio) (Net debt/Average equity) [Net debt: Non-current and current borrowings + Non-current and current lease liabilities - Current investments - Cash and cash equivalents - Other balances with banks (including non-current and current earmarked balances) - Foreign currency hedges against borrowings] [Equity: Equity share capital + Other equity]	0.50	0.44
(3)	**Debt service coverage ratio$** (EBIT/(Net finance charges + Interest income from group companies + Scheduled principal repayments of non-current borrowings and lease obligations (excluding prepayments) during the period)) [EBIT: Profit before taxes +/(-) Exceptional items + Net finance charges] [Net finance charges: Finance costs (excluding interest on current borrowings) - Interest income - Dividend income from current investments - Net gain/(loss) on sale of current investments]	2.85	3.82
(4)	**Return on Equity (%)** (Profit after tax (PAT)/Average Equity) [Equity: Equity share capital + Other equity]	12.25	10.43
(5)	**Inventory turnover ratio (in days)** (Average inventory/Sale of products in days)	62	67
(6)	**Debtors turnover ratio (in days)** (Average trade receivables/Turnover in days) [Turnover: Revenue from operations]	4	4
(7)	**Trade payables turnover ratio (in days)** (Average Trade Payables/Expenses) [Expenses: Total Expenses - Finance Cost - Depreciation and Amortisation Expense – Employee Benefit Expenses in respect of Retirement Benefits – Other expenses with respect to Royalty, Rates & Taxes, Provision for Doubtful Debts & Advances, Provision for Impairment and Foreign Exchange Gain/Loss]	85	76
(8)	**Net capital turnover ratio (in days)*** (Average Working Capital/Turnover) [Working Capital: Current Assets - Current Liabilities] [Current Liabilities: Total Current liabilities - Current maturities of long-term debt and lease obligations] [Turnover: Revenue from operations]	*	*

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40. Financial ratios(Contd.)

(₹ crore)

		Year ended March 31, 2026	Year ended March 31, 2025
(9)	**Net profit ratio (%)** (Net profit after tax/Turnover) [Turnover: Revenue from operations]	11.50	10.54
(10)	**Return on Capital Employed (%)** (EBIT/Average Capital Employed) [Capital Employed: Equity share capital + Other equity + Non-current and current borrowings + Current maturities of long- term debt and lease obligations + Deferred tax liabilities – Capital Work-in-Progress – Intangible Assets under Development] [EBIT: Profit before taxes +/(-) Exceptional items + Net finance charges] [Net finance charges: Finance costs - Interest income - Dividend income from current investments - Net gain/(loss) on sale of current investments]	14.49	13.34
(11)	**Return on investment (%)**^ (Weighted average annualised return on current investment) [Return on current investment: Net gain/(loss) on sale of mutual funds/Cost of purchase of mutual funds]	4.74	6.00

* Net working capital is negative
# Change in the definition of Debt equity ratio and no change in the prior periods ratio presented above.
$ Variation in coverage ratios is primarily due to higher scheduled repayments during the year ended March 31, 2026
^ Change in the definition of return on investment and corresponding change in prior period's ratio presented above.

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41. On November 21, 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Company has assessed and disclosed the incremental impact of these changes, consistent with the guidance provided by the Institute of Chartered Accountants of India. The Company continues to monitor the finalisation of Central/State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as and when needed.

42. The erstwhile Tata Steel BSL Limited, now merged with the Company, was eligible under Package Scheme of Incentives, 1993 and 2007, accordingly as per the provisions of the Scheme it had obtained eligibility certificate from Directorate of Industries. As per the Scheme, the Tata Steel BSL Limited has an option to defer the payment of sales tax for a period of fourteen years upto a specified limit (twenty-one years in case the specified limit is not availed in fourteen years). The said tax collected shall be paid after fourteen years in five annual equal instalments and has been recognised as deferred sales tax liability, which as at March 31, 2026 amounts to **₹34.25** crore (March 31, 2025: ₹30.78 crore). Post-introduction of GST, the Maharashtra government modified the scheme, whereby the Company needs to deposit the GST and claim refund of the same. During the year, the Company has recognised **₹17.51** crore (2024-25: ₹23.92 crore) as an income on account of such scheme.

43. (a) The Board of Directors of the Company at its meeting held on July 31, 2024, considered, and approved the amalgamation of Rujuvalika Investments Limited (“RIL”) into and with the Company, by way of scheme of amalgamation ('Scheme'). RIL is an investment company having investments in shares of listed and unlisted body corporates and in mutual funds. It is registered under Section 45-IA of Reserve Bank of India Act, 1934 as Non-Banking Financial Company (‘NBFC’) holding certificate of registration as NBFC. RIL, however, does not have any active operations as a NBFC.

As part of the Scheme, among other things, equity shares held by the Company in the RIL shall stand cancelled. No shares of the Company shall be issued, nor any cash payment shall be made whatsoever by the Company in lieu of cancellation of shares of RIL (being wholly owned subsidiary). The Scheme is subject to certain conditions, including approval from regulatory authorities and sanction of the Scheme by the Hon’ble National Company Law Tribunal ('NCLT’), Mumbai bench.

(b) The Board of Directors of the Company at its meeting held on March 17, 2026, considered, and approved the amalgamation of Neelachal Ispat Nigam Limited ("NINL") into and with the Company, by way of scheme of amalgamation ('Scheme').

As part of the Scheme, among other things, equity and preference shares held by the Company in NINL shall stand cancelled. No shares of the Company shall be issued, nor any cash payment shall be made whatsoever by the Company in lieu of cancellation of shares of NINL (being wholly owned subsidiary). The Scheme is subject to certain conditions, including approval from regulatory authorities and sanction of the Scheme by the relevant bench of the Hon’ble National Company Law Tribunal ('NCLT’).